

CROATIA 2014

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Introduction

Tax-benefit policy “country chapters” are made available as part of the OECD series *Benefits and Wages*. They provide detailed descriptions of tax and benefit rules in a consistent format across countries and summarize recent policy changes.

Country chapters for other countries and years are available on the Internet at www.oecd.org/els/social/workincentives.

Reference date for all information is **July 1st 2014**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

1. Overview of the tax-benefit system

1.1. Average Worker wage (AW)

The national currency is the Croatian kuna (HRK).

In period January to December 2014 in Croatia average monthly gross earnings for activities B-N (by NACE Rev. 2) amounted to 7 782 kuna (annual value 93 384 kuna).

In period January to December 2014 in Croatia average monthly gross earnings for all activities amounted to 7 953 kuna (annual value 95 442 kuna).

2. Unemployment insurance

Unemployment insurance is regulated, primarily, by the Act on Employment Mediation and Unemployment Rights (Official Gazette, Nos. 80/08, 94/09, 121/10, 25/12, 118/12 and 12/13 - consolidated text).

Unemployment cash benefit is granted to the unemployed person for a period that depends on the previous period of employment, namely:

- 90 days if the person has spent 9 months to 2 years at work,
- 120 days if the person has spent more than 2 years at work,
- 150 days if the person has spent more than 3 years at work,
- 180 days if the person has spent more than 4 years at work,
- 210 days if the person has spent more than 5 years at work,
- 240 days if the person has spent more than 6 years at work,
- 270 days if the person has spent more than 7 years at work,
- 300 days if the person has spent more than 8 years at work,
- 330 days if the person has spent more than 9 years at work,
- 360 days if the person has spent more than 10 years at work,
- 390 days if the person has spent more than 15 years at work,
- 420 days if the person has spent more than 20 years at work,
- 450 days if the person has spent more than 25 years at work.

With the Act on Amendments of the Act on Employment Mediation and Unemployment Rights (Official Gazette, No 153/13), the right to unemployment benefit in extended duration ceased to exist, as the social care for long-term unemployed has been allocated into social welfare system (guaranteed minimal benefit, explained in the Chapter 4 of this Questionnaire).

An unemployed person who spent more than 32 years working and needs maximum of 5 years to fulfil the age limit for old-age pension shall be entitled to unemployment benefit until reemployment or until the occurrence of other circumstances which cause the termination of the right to this benefit.

2.1 Conditions for receipt

Prerequisites for unemployed person to obtain unemployment benefit are as follows

- involuntary unemployment (i.e. through no fault of their own or against his/her own will),
- fulfillment of a minimum period of insurance,
- registration at the Croatian Employment Service
- application for benefit within 30 days of the termination of employment,
- capable of work,
- actively seeking employment.

Unemployed person has no right to unemployment benefit if his/her employment was terminated:

- because employment was terminated by that person, except in case of emergency termination of employment caused by the conduct of the employer,
- due to a written agreement on termination of employment,
- because the person did not meet expectations during probation work or has failed to meet during training or internship, or did not pass the exam within the prescribed deadline which is set by special provisions as a condition for continuance of employment,

- for breach of obligations deriving from employment relationship (dismissal caused by employee's misconduct), as well as for severe misconduct (extraordinary termination),
- due to pronounced prison sentence longer than 3 months.

Unemployed person loses the right to unemployed benefit if:

- person establishes working relations,
- the time period set for payment of unemployed benefit elapses,
- person is performing work without certificate, contract, or obligatory decision,
- person registers a company or other legal entity or acquires more than 25% of shares in a company or other legal entity,
- person becomes president or member of the board of director,
- person registers a craft, freelance, farming or forestry activity,
- person becomes insured as a farmer according to pension regulations,
- person becomes employed under special regulations,
- person fulfils the requirements for an old-age pension or acquires a family pension, disability pension due to general inability to work or a disability pension due to occupational disability for work in the amount higher than the amount of unemployment benefit,
- general inability to work has been established,
- person acquires a cash assistance under special regulations in an amount higher than the one determined for unemployment benefit,
- person start serving prison sentence which is longer than three months,
- person reaches 65 years of age,
- person refuses participation in education program or terminates it without a valid reason, or does not complete an education which was, after the assessment of psychophysical capabilities of person, organised and financed by the Croatian Employment Service, in order to increase its employability,
- person does not report to the Croatian Employment Service in two consecutive months, without providing an acceptable excuse,
- person does not meet conditions relating to active job search and availability for work,
- person unregisters itself from the records of Croatian Employment Service.

2.1.1 Employment conditions

The right to unemployment benefit is acquired by unemployed person who at the time of termination of employment has at least 9 months of work in the last 24 months.

As the time spent at work is also considered a time of compulsory pension insurance acquired on the basis of employment in the Republic of Croatia as well as the time spent by a worker on sick leave or maternity, parental, adoptive or custodial leave after the termination of employment or service, if during this time worker received a salary compensation in accordance to health insurance regulations.

2.1.2 Contribution conditions

All workers are compulsory insured for the case of unemployment, in accordance to solidarity principle.

According to the Contributions Act (Official Gazette, Nos. 84/08, 152/08, 94/09, 18/11, 23/12, 144/12 and 148/13), employment contributions are paid for the following categories of persons:

- persons employed by the employer
 - payer of contributions is employer
- persons elected or appointed to representative or executive bodies
 - payer of contributions is representative or executive body of state or unit of regional or local self-government
- assigned employee
 - payer of contributions is employer or another person that pays salary to the insured person instead of employer
- caretaker of Croatian Homeland war veteran
 - payer of contribution is a ministry authorised for the rights of the Croatian Homeland war defenders
- parent-caretaker
 - payer of contribution is the ministry responsible for social welfare issues.

2.2 Calculation of benefit amount

The basis for determination of the unemployment benefit amount is the average salary, decreased by contributions for obligatory insurances, acquired in the three-month period preceding the termination of employment or service. Remuneration earned under special regulations do not form a part of the basis.

If the basis cannot be determined as described above, the basis for an unemployed person is determined in the amount of the minimum salary, decreased by contributions for obligatory insurances determined by special regulations, all depending on the percentage of time spent at work.

2.2.1 Calculation of gross benefit

The unemployment benefit for the first 90 days amounts to 70% of prescribed basis while for the remaining time it decreases to 35% of the basis.

Unemployed person who, while receiving unemployment benefit, acquired right for a disability pension due to occupational incapacity to work, as well as the person who was at that time acquired a compensation under special provisions in the amount below the amount of unemployment benefit, is entitled to the difference between disability pension/compensation and the unemployment benefit initially determined for him/her.

The maximum amount of unemployment benefit for the first 90 days cannot be higher than 70%, and for the remaining time cannot be higher than 35% of the average salary paid in the Croatian economy in the previous year, according to the latest officially published data. The average monthly salary paid in the Croatia Economy in 2013 was 5 515 kuna.

The minimum amount of the benefit cannot be lower than 50% of the minimum salary, decreased by contributions for obligatory insurances as determined by special regulations, except in the case where the amount of benefit is determined according to the percentage of time spent at work.

2.2.2 Income and earnings disregards for benefit recipients and those starting a new job

2.3 Tax treatment of benefit and interaction with other benefits

Unemployment benefits are not subject to personal income tax.

2.4 *Benefit duration and waiting periods*

Unemployment cash benefit is granted to the unemployed person for a period that depends on the previous period of employment, namely:

- 90 days if the person has spent 9 months to 2 years at work,
- 120 days if the person has spent more than 2 years at work,
- 150 days if the person has spent more than 3 years at work,
- 180 days if the person has spent more than 4 years at work,
- 210 days if the person has spent more than 5 years at work,
- 240 days if the person has spent more than 6 years at work,
- 270 days if the person has spent more than 7 years at work,
- 300 days if the person has spent more than 8 years at work,
- 330 days if the person has spent more than 9 years at work,
- 360 days if the person has spent more than 10 years at work,
- 390 days if the person has spent more than 15 years at work,
- 420 days if the person has spent more than 20 years at work,
- 450 days if the person has spent more than 25 years at work.

The right to cash benefit can be re-applied in case of obtaining new insurance period of at least 9 months in last 24 months.

In case of repeated acquirement of the right to cash benefit, the insurance period taken into account for the previous cash benefit shall not be included in the insurance period for the acquisition and the calculation of the new cash benefit.

An unemployed person who, due to re-employment, lost the right to unemployment benefit before the expiry of the time for which it was granted, who again became unemployed by no fault of his/her own has a right to continued payment of benefit for the remaining part of the initially established duration, and in the initially established amount.

Exceptionally, in the case of a person who gained right for disability pension due to professional inability to work, as well as for person who acquired this benefit under special regulation in the amount below generally prescribed one, who was re-employed for more than three months and then again lost a job by no fault of his/her own, has right to continued payment of benefit for the remaining part of the initially established duration (namely, until another re-employment or until occurrence of other circumstances causing termination of the right to unemployment benefit), but a new basis can be applied to determine the amount of benefit, if this basis is more favourable for the beneficiary.

2.5 *Treatment of particular groups*

2.5.1 *Young persons*

2.5.2 *Older workers*

An unemployed person who spent more than 32 years working and needs maximum of 5 years to fulfil the age limit for old-age pension shall be entitled to unemployment benefit until reemployment or until the occurrence of other circumstances which cause the termination of the right to this benefit.

2.5.3 *Others if applicable*

3. Unemployment assistance

The right to the cash allowance is provided to the unemployed person assigned to the vocational training by the Croatian Employment Service (right to reimbursement of travel expenses is also acquired). During the training, if the person is entitled to the unemployment benefit, he/she holds that right. Unemployed persons, whose right to unemployment benefit expires during the training, has the right to the cash allowance until the end of training.

In accordance with the National Plan for Stimulation of Employment, a new measure of professional development without conceiving employment has started to be implemented. This measure is indented for unemployed persons with below one year of pension time. Namely, private and public entities, if they satisfy certain conditions, can admit above mentioned category of people, who can then work for a period of one year. They do not sign a working contract but a contract on professional development without conceiving employment (they have a mentor who is responsible for their professional development). During this one year person does not receive a salary, but a financial assistance. This assistance is paid by the Croatian Employment Service, in addition to reimbursement of travel expenses.

The unemployed persons, to whom the Croatian Employment Service is not capable to provide a job in the place of residence, and who, either on his/her own or by the mediation of the Service, finds a job in another place, is entitled to the cash lump-sum allowance. Also, he/she is entitled to the reimbursement of travel and resettlement expenses for himself/herself, his/her spouse/partner and children, from the place of residence to the place of employment.

Unemployed person sent to education by the Croatian Employment Service has a right to reimbursement of: expenditures for transportation during the education, in the amount of real public transport expenditures

3.1 Conditions for receipt

3.1.1 *Employment conditions*

3.1.2 *Contribution conditions*

3.2 Calculation of benefit amount

3.2.1 *Calculation of gross benefit*

3.2.1.1 *Irregular additional payments*

3.2.1.2 *Obligations of family members*

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3.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

3.3 ***Tax treatment of benefit and interaction with other benefits***

3.4 ***Benefit duration and waiting periods***

3.5 ***Treatment of particular groups***

3.5.1 *Young persons*

3.5.2 *Older workers*

3.5.3 *Others if applicable*

4. Social assistance

Rights within the social welfare system are: guaranteed minimal benefit, assistance for housing and heating costs, lump-sum benefit, benefits for educational needs, personal disability benefit, allowance for help and care, the status of the parent caregiver, up to employment benefit, and other social services.

Generally speaking, it can be said that the aforementioned rights can be granted to people who cannot provide maintenance by themselves through their work, rights arising from employment or insurance, property income, other fees or income under other regulations, neither with the help of people who are required to support them, or otherwise.

There are two main basis for calculation of social welfare benefits:

- 1) Base for calculation of guaranteed minimal benefit, in the amount declared by government (800 kuna – 100% of the base)
- 2) Basis for calculation of amount of rights other than guaranteed minimal benefit (500 kuna)

1. Benefits for school needs encompass:

a) Regular studying benefit is acknowledged to a person who is the user of social service of accommodation or service of organized housing, for studying in university course or professional degree course, up to quadruple amount of base for determination of rights other than guaranteed minimal benefit.

If this right is acknowledged to a person, he is not entitled any more to the right for accommodation service nor to organized housing service.

Request for acknowledgment of this right can be applied six months from the moment when right for accommodation or organized housing has ceased, at the latest.

Beneficiary of this right can also use this benefit in some cases of standstill in studying like military service, pregnancy, longer period of illness and other justified reasons.

This right is acknowledged to a beneficiary regardless of his financial status.

b) Benefit for settling accommodation costs in boarding school can be acknowledged to a financially deprived child who attends high school and is not a member of a household who is the user of the guaranteed minimal benefit, if one of the following conditions are met:

- It is a child of a single parent and average monthly income per member of a family does not exceed the amount of two basis (for determination of rights other than guaranteed minimal benefit)
- Child is under guardianship, and personal income does not exceed the amount of 250% basis (for determination of rights other than guaranteed minimal benefit)
- Child is situated in a foster family and attends the school outside the place of residence of his foster family because attending the school cannot be secured in the place of residence.

c) Travel costs benefit can be acknowledged to:

- Person with disability or child with developmental difficulties who attends the high school according to special program outside the place of his/her residence, or outside place where they learn to provide for themselves, and there is no need that a right for accommodation service or organized housing service be acknowledged
- Child situated in a foster family or family home (social service of accommodation) who attends the high school outside the place of residence
- If the transportation is not secured on some other grounds.

This benefit covers travel costs in both ways and is acknowledged according to lowest price of regular means of public transport for the shortest distance. If beneficiary uses personal vehicle benefit corresponds to amount of price of ticket for public transport.

If the person with disability or child with developmental difficulties attends the high school in the place of residence, that the transport is secured by local self-government unit if it's not secured on some other grounds.

Right for compensation of traveling costs, is also acknowledged to a child who attends high school in the year of 2013/2014, and who is a beneficiary of the guaranteed minimal benefit.

2. Assistance in settling of housing costs

Housing costs encompass rent, utility costs, electricity, gas, heating, water supply, drainage and other housing costs, in accordance with special regulations. It can be granted to a single person or a family.

Right to assistance in settling of housing costs is granted to a person or a family who is a beneficiary of a guaranteed minimal benefit.

This right is financed and implemented by the local self-government unit, on monthly basis, up to half of the amount of guaranteed minimal benefit. This right can be approved to full amount of the prescribed maintenance needs if the social welfare centre assess that is the only way to avoid the separation of children from their parents.

Assistance in settling of housing costs can be granted in cash directly to the beneficiary or it can be provided in a manner that a competent authority wholly or partially pays the income directly to the authorized legal or natural person who provided the service.

3. Assistance in settling of heating costs

A single person or a family, beneficiary of the guaranteed minimal benefit, using wood for heating can be, once a year, provided by 3 m³ of wood or may be granted an amount of money to cover that cost. This right is financed from the budgets of regional self-government units.

4. Personal disability benefit

Personal disability benefit is a financial support intended for persons with severe disability or other serious long-term changes in health condition, in order to meet their basic needs for inclusion in the daily life of the community. A user who is entitled to a personal disability benefit cannot simultaneously exercise the right to allowance for help and care. Also, right for personal disability benefit cannot be entitled to: person who exercise the right for disability benefit on other grounds than mentioned; person who owns a house or apartment, beside house or apartment where he/she resides, that can be alienated or rented and thus person can secure the means for inclusion in community; person who owns office space that isn't used for registered business activity; child less than one year old; child or adult who exercises the accommodation service or service of organized housing in accordance with Social welfare act.

Personal disability benefit amounts to 250% of monthly basis used for determination of the amount of rights other than guaranteed minimal benefit, for a person who does not have his/her own income or assets.

If a person earns an income of any kind, personal disability benefit is calculated as the difference between the amount of personal disability benefit and the average income acquired in the three months prior to application.

Income mentioned above does not include guaranteed minimal benefit and assistance in settling of housing costs, pensions up to the amount of the minimum pension for 40 years of pension insurance time, orthopaedic addition, funds for maintenance of a child on the ground of regulations on family relations, and child allowance.

Beneficiary of the personal disability benefit who is serving prison sentence, is in custody or in investigation prison, or resides in foreign country in duration longer than two months, his right for personal disability pension is put in standstill.

5. Allowance for help and care

Allowance for help and care is cash benefit intended for person who cannot meet basic needs by him/herself, and is therefore in high need of help and care of another person in organizing nutrition, food procurement, purchasing groceries, house cleaning, dressing, personal hygiene maintenance, and other basic needs.

This right can be approved if, among other, the average monthly income of a single person does not exceed 250% of the basis (for determination of rights other than guaranteed minimal benefit), that is, if the average monthly income of family members does not exceed the amount of 200% of the basis, in three months before a month in which the application was submitted.

This allowance cannot be acquired by a

- 1) Person who signed the lifelong support contract or contract for support until death
- 2) Person who owns a house or apartment, beside house or apartment where he/she resides, that can be alienated or rented and thus person can secure the means for help and care
- 3) Person who owns office space that isn't used for registered business activity
- 4) Single person whose average monthly income exceeds 250% of the basis (for determination of rights other than guaranteed minimal benefit), that is, if the average monthly income of family members exceed the amount of 200% of the basis, in three months before a month in which the application was submitted
- 5) Person who can achieve the right for help and care through some special regulation
- 6) Child less than one year old
- 7) Person who was granted personal disability benefit
- 8) Person who has been provided accommodation in social welfare institution or other providers of social services, in health or in another institution, or he/she uses right for organized occupancy.

Allowance for help and care can be granted in full or reduced amount, depending on whether there is an urgent need of help and care in full or reduced volume.

The amount of allowance

- In the full amount - 100% of prescribed basis (for determination of rights other than guaranteed minimal benefit)
- In the reduced amount - 70% of prescribed basis.

The allowance for help and care in full amount, regardless of conditions stated in items 2, 3 and 4 described in the paragraph above, can be acquired by

- Person with severe disability
- Person with severe continuous changes in health condition
- Blind, deaf and deaf blind person who is unable to live and work independently.

The allowance for help and care in reduced amount, regardless of conditions set, can be acquired by

- Blind, deaf and deaf blind person who is capable of independent life and work and
- Person who is totally deprived of legal capacity.

A child whose parent uses maternity or parental leave, or employment standstill until the child reaches age of three, does not have a right to allowance for help and care. However, a child whose parent use a right for part time job, right for part time job because of child's need of intensive care, right for part time job because child needs intensive care due to developmental difficulties can achieve right to allowance for help and care in reduced amount.

To a beneficiary of a right for help and care, exceptionally can be acknowledged social service of house assistance for needs described for this benefit, which cannot be attended by members of a family.

6. Status of the caregiver parent

Status of parent caregiver is recognised by the welfare centre, to one of the parents of a child with developmental difficulties, or person with disability, if one of following conditions is met

- a) Child is totally dependent on the help and care of another person because it is crucial for child's life support to be provided with specific care by performing a medical-technical intervention, for which the parent is qualified by doctor's recommendation
- b) Child is completely motionless even with the help of orthopaedic devices
- c) Child has several kinds of severe impairments (physical, mental, intellectual or sensory).

In a family with two or more children with developmental difficulties or with disability, status of parent caregiver can be acknowledged to both parents.

Exceptionally, one of the family members may be granted this status. Except parent, this status can be recognized to marital or extramarital partner of a child's parent, who lives within a family union together with the child.

If one of the parents uses maternity, parental or adoption leave, the other parent cannot be acknowledged status of parent caregiver. This status also cannot be acknowledged if the child with developmental difficulties, or person with disability, uses service of accommodation, organized housing or day care center (even if it is a half-day arrangement). But it can be acknowledged if a child stays in a pre-school, educational or health establishment or in a social welfare home for less than four hours per day.

Caregiver parent is entitled to compensation in the amount of five bases (for determination of rights other than guaranteed minimal benefit), pension and health insurance rights as well as to unemployment rights, as an employed person under special regulations. If a child is medically treated, parent caregiver has a right for this compensation if the treatment does not last longer than two months.

7. Up to employment benefit

Up to employment benefit can be granted to a child with developmental difficulties, or to a person with disability, for whom physical, mental, intellectual or sensory impairment has been established, after the primary, secondary or higher education, and the earliest at 15 years of age, under the condition that they don't receive compensation during their unemployment according to other regulations and they are registered as unemployed persons in Croatian Employment Service or that temporary unemployability has been established.

This right cannot be acquired by person for whom it has been established that is fully incapable for work. Up to employment benefit is granted and paid by the Center for social welfare from the budget. The amount of this benefit is set at 70% of basis (for determination of rights other than guaranteed minimal benefit). A beneficiary of this compensation cannot simultaneously be provided with allowance for help and care.

The beneficiary stops using this right when he becomes employed, but this right can be re-acquired in case of termination of employment (regardless whether termination was voluntary or not) and the beneficiary in this case does not acquire unemployment benefit under other regulations.

8. Allowance for personal needs of a user of accommodation service

This right is acknowledged to a user of a social service of accommodation and social service of organized housing in monthly amount of 20% of the basis (for determination of rights other than guaranteed minimal benefit) if the user is not able to satisfy basic needs during accommodation or organized housing with his own income.

9. Social services

Social services cover activities, measures and programs whose purpose is to prevent, recognize and solve problems and difficulties of individuals and families, as to improve the quality of their life in community.

Social services are: primary social service (informing, recognizing and initial estimate of needs), advising and help, house assistance, psychosocial support, precocious intervention, assistance with inclusion in upbringing programs and regular educational programs, daily stay, accommodation and organized housing.

9a. Accommodation is a social service which can cover the services of habitation, nutrition, nurturing, health care, social work, psychosocial rehabilitation, physical therapy, working therapy, work activities, active leisure time, raising and education, depending on determined needs and choice of a beneficiary.

Accommodation can be provided temporary or long-term.

Temporary accommodation is acknowledged in situations of crisis, for conducting short period rehabilitation program, for accommodation of children without adequate parental care and other circumstances regulated in the Social welfare act.

a) Temporary accommodation in situations of crisis is acknowledged to:

- a child who is found without parental supervision or is a vagrant,
- adult found outside of his place of residence or temporary residence, or in a case he doesn't have a place of residence or temporary residence and he can't provide for himself,
- homeless person,

- pregnant woman,
- parent with a child who hasn't reached one year of age,
- children and adults who are victims of domestic violence and victims of trafficking,
- adults whose life, health and security is endangered due to illness, inability, addiction or social exclusion.

Temporary accommodation in situations of crisis can last six months at the most. Exceptionally it can last one year at the most for: a pregnant woman or a parent with a child who hasn't reached one year of age who doesn't own a house or apartment or doesn't have secured place where he can reside, child and adult who are victims of domestic violence, child and adult who are victims of human trafficking and homeless person.

b) Temporary accommodation for conducting short period rehabilitation program

This kind of temporary accommodation is acknowledged to:

- Child with developmental difficulties and adult person with disability
- Child or younger adult with behavior difficulties
- Person who is addicted to drugs, alcohol, gambling and other forms of addiction

This temporary accommodation serves for conducting short period rehabilitation program which covers services of psychosocial rehabilitation for adopting and developing social skills. This service can also be acknowledged to a parent of a child with developmental difficulties who was directed to short-term rehabilitation program so he/she can take active part in conducting of rehabilitation program in a period of time not longer than 15 days during one year.

Accommodation of this kind can last as long the need for it exists but not longer than one year for child with developmental difficulties or person with disability, that is three years for child or younger adult with behavior issues and person who is addicted to drugs, alcohol, gambling and other forms of addiction.

c) Temporary accommodation of children without adequate parental care

Temporary accommodation in a social welfare home, center for providing services in community or at some other provider of services can be acknowledged to a child (especially to a child who didn't reach seven years of age) only in case that accommodation cannot be secured in foster family or family home (social service of accommodation) in the moment of occurrence of this need. This accommodation is acknowledged while there is a need of this service but not longer than six months. Exceptionally, this service can be provided for a period of time longer than six months but not longer than a year if there's a need for a health service or some other treatment that must be provided to a child which the child cannot receive in a foster family.

Also if it is in child's interest this service is acknowledged to a child whose parents temporary cannot take care of a child due to illness, unsolved housing arrangement or other difficulties connected with life conditions, in a period not longer than one year.

d) Temporary accommodation because of other circumstances

Temporary accommodation is acknowledged to a child or adult, if a parent caregiver or a caregiver uses a vacation, in duration of 30 days at the most during one year, or in a case of temporary incapability for providing care due to illness of a parent caregiver or a caregiver while there is a need of this service but not longer than 60 days during one year.

Temporary accommodation in a foster family during holidays or school vacations is acknowledged to a child and adult person with disability who uses accommodation in social welfare home, center for providing services in community or at some other provider of services for a reason of acquiring experience in a family environment.

This service can also be acknowledged to a child and adult person with disability for a reason of gradual adjustment on long-term accommodation apart from his own family or foster family, or to a child and adult person to prepare himself/herself to non-institutional care, in a period not longer than six months.

This service can also be acknowledged to a child with developmental difficulties and adult person with disability for attending school by special program outside from the place of residence if it cannot be secured in a place of residence in a period or regular schooling but not longer than when person reaches 21 years of age.

Long-term accommodation is acknowledged to a beneficiary for whom it is necessary to assure intensive care and fulfilment of other basic needs during longer period of time.

Long-term accommodation in a foster family, family home (social service of accommodation) or organized housing is acknowledged to a child who lost both parents, child neglected from parents and a child whose parents abuse their parental obligations.

Long-term accommodation is acknowledged to a person with disability, person with physical, mental, intellectual or sensory impairment according to person's age and type and level of impairment when it is not possible to secure proper care within person's family by providing adequate non-institutional type of care.

Long-term accommodation is acknowledged to an older person who is dependent of others and person who is seriously ill and who, because of constant changes in health condition, is in a great need of help and care of other person.

Long-term accommodation is acknowledged to a person who is incapable of work and lives in especially hard living conditions which cannot be solved by using other social welfare rights or in some other way.

Long-term accommodation **won't be** acknowledged to a:

- Person who closed the lifelong support contract or contract for support until death
- Person who can be provided with help and care by members of a family or in some other way
- Person who can settle the expenses of accommodation in full amount with her earnings or property

Organized housing

Organized housing is a social service intended for one or more persons, during whole day, with organized constant or temporary help of professional or other person, in a place of stay or outside, for securing basic needs and social, working, cultural, educational, recreational and other needs.

Organized housing can also refer to living in a group of housing units that are on the same location. In one housing unit, eight beneficiaries at the most can reside.

4.1 Conditions for receipt

The right to dependency allowance is not provided for a single person or family member who:

- can provide for themselves,
- does not want to seek support from the person who is obliged to dependency, on the basis of regulations on family relationships, unless the welfare centre finds that the person legally obliged to provide dependency is not able to provide support,
- does not want to acquire dependency aid on the basis of a concluded contract for life dependency, and did not initiate proceedings for breach of that contract,
- can acquire support on other grounds,
- owns a registered personal vehicle, unless the welfare centre determines that the vehicle is used for transportation of a family member - user of a right to allowance for help and care or right to personal disability benefit, as well for transportation of a large number of children, elderly people with moving difficulties or in order to meet some other basic needs,
- owns or co-owns an apartment, house or other object that does not serve him/her or a family member to meet their basic housing needs,
- has, within a period of one year, prior to submitting application, sold, donated or waived his/her right to inherit property and other assets, if by this he/she could have raised funds to meet their basic needs at the time of submission of the application for acquirement of this right.

It is considered that a person can provide for himself/herself if revenue can be acquired by selling, leasing or renting property that does not serve neither to him/her nor to the other family members in order to meet their basic needs. Residential properties, that meet the basic housing need, are considered to be a flat or a house of 35 m² floor space for one person, and for people with disabilities 20% higher (42 m²), plus 10 m² for each additional person, with a possible deviation of up to 10 m².

It is considered that a person is able to provide for himself/herself if he/she is not properly registered within the relevant employment office, or if he/she in the period of six months prior to the initiation of proceedings refused an offer of employment, or if he/she has an opportunity, even temporary, seasonally, or with occasional jobs to raise funds in order to meet the basic needs, or else to achieve other income.

The conditions listed in the previous paragraph are not applicable to:

- A person missing 5 years of life before obtaining right on a old-age pension
- A child from the age of 15 years while attending the school regularly, or a younger adult until the end of the regular education, and no longer than the age of 26 years
- Pregnant woman after 12 weeks of pregnancy, a woman that gave birth until the six months after giving birth, a parent who raises the child until the age of 1, the twins up to three years, or three or more children under the age of 10 years
- A person totally incapable to work
- An unemployed member of family, with no income, who provides for a child, or an adult family member who is not capable to take care for himself/herself, if such this relaces institutional care.

The single person or family who have made funds from the sale of property or by donating their properties, are not entitled to dependency allowance for the period for which the amount of allowance corresponds upon the base rate for the real estate tax payment, except if their lives and health are endangered during that period of time, due to the inability of meeting their basic needs.

Income includes the entire financial and material resources which single person or a family member achieves on the basis of work, pension, property income or otherwise (for example, income from participating interests in the equity accounts, etc.)

Income doesn't include many receipts which make elements of the social protection system: assistance in settling of housing costs, financial compensation for physical disability, allowance for help and care, orthopaedic addition, personal disability benefits, child allowance, and alike.

Likewise, assistances and fees provided by local and regional self-government units are not included in the income, up to the amount of the basis. The same situation refers to amounts that are paid by a family member for support of a person who is not a family member, based on the regulation of family relations.

4.2 Calculation of benefit amount

4.2.1 Calculation of gross benefit

The Croatian government determines the financial base upon which the amount of guaranteed minimal benefit is determined, in an amount which cannot be higher than gross amount of a minimal wage.

According to decisions of the Government, 25. September 2014 (entered into force in October same year), the base was established in the amount of 800 Croatian kuna.

The amount of guaranteed minimal benefit is calculated as the percentage of the base:

- For a single employed person - 100% of the base,
- Family, for:
 - Single parent - 100% of base,
 - Adult member of a household - 60% of base,
 - A child - 40% of base,

The amounts of the guaranteed minimal benefit for household are increased for the amount accommodation cost of the household member in boarding school during school time.

If a person or a household member, who is capable for work or partially capable, and is a beneficiary of the guaranteed minimal benefit in the period of at least a year, becomes employed, than in the first month of his employment this benefit does not cease and does not decrease for earned income. In the second month of the employment amount of a benefit decreases for 25%, and in the third month for 50%. If this person or a household member is employed longer than three months and his/her average income is higher than the amount of guaranteed minimal benefit than the right for this benefit ceases.

The right to guaranteed minimal benefit ceases if an individual or a family member is: hospitalized, in custody or in investigative imprisonment, serves a prison sentence, or is temporary accommodated in a social welfare institution, or is staying abroad, for a continuous period of more than 2 months. Also, the right to guaranteed minimal benefit ceases for the individual or a member of a household each month in which they stay more than 15 days abroad or for a person or a household member who, during the process of acquiring this right, gave false or incomplete information about income or he didn't make it possible for a Center for social welfare insight of income or property.

4.2.1.1 Irregular additional payments

1. Lump-sum benefit

Lump-sum benefit is acknowledged to a single person or family who are not able to meet some basic needs, due to the current material difficulties, which are caused by the birth or education of a child, illness or death of a family member, natural disasters, etc. (it can exceptionally be granted to users of social service of accommodation and organized housing if the needs described here are not met within these social services or compensation recognized on other grounds.)

Lump-sum benefit can be recognized for the procurement of basic household items or necessary clothing and footwear if there is no option of ensuring these necessities in cooperation with humanitarian organizations.

Lump-sum benefit can be acknowledged to a user of the right of accommodation in a foster family if he/she attends primary school or high school for purchasing school books, if this right cannot be achieved on other grounds.

Lump-sum benefit can be acknowledged to users of temporary accommodation during certain crisis for compensation of travel costs to a place of residence, family or foster family, social welfare home, other provider of service, other establishment.

Lump-sum benefit is a right to compensation in cash or kind. Center for social welfare can acknowledge a compensation in kind if there is a reasonable doubt that the beneficiary won't use it for a purpose for what the compensation was given.

The total yearly amount of all recognized lump-sum benefits cannot reach more than the value of five basis (for rights other than guaranteed minimal benefit) for one person, or value of seven basis for a household.

2. Increased lump-sum benefit

In particularly justified cases Center for social welfare can acknowledge increased lump-sum benefit with previous consent of the Ministry of Social Policy and Youth, it can be acknowledged in the amount no higher than 10.000 kuna.

When submitting the request to the Ministry of Social Policy and Youth, Center for social welfare is obliged also to submit social and anamnestic information, evidence of the justification of request and amount needed to cover the need.

3. Lump-sum benefit for funeral costs of the person who was the user of guaranteed minimal benefit and the person who was the user of accommodation service or organized housing service

Lump-sum benefit for funeral costs is acknowledged for a funeral of a person who doesn't have a caregiver (legal or by contract of lifelong support or contract for support until death), under the condition that in a time of death:

- a) Person was the user of a guaranteed minimal benefit or member of a household that uses the same benefit
- b) Person was the user of accommodation service or organized housing service

Center for social welfare will claim reimbursement of funeral costs from the successors of deceased if he/she has an income or property.

Center for social welfare acknowledges this lump-sum benefit to the amount of elementary funeral costs in a place of death or a place where funeral is held, transportation costs of the decedent are also included. The benefit is paid to a person or legal entity who bear the costs of a funeral or firm registered for giving funeral services who performed the service.

4.2.1.2 *Obligations of family members*

4.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

If a person or a household member receives income, the amount of a guaranteed minimal benefit corresponds the difference between the guaranteed minimal benefit (base) and average monthly income of a person or a household member achieved in a period of 3 months, preceding the month in which the application was initiated in order to achieve the benefit.

Income includes the entire financial and material resources which single person or a family member achieves on the basis of work, pension, property income or otherwise (for example, income from participating interests in the equity accounts, etc.) deduced by amount of paid tax and surtax.

Income doesn't include many receipts which make elements of the social protection system: assistance in settling of housing costs, financial compensation for physical disability, allowance for help and care, orthopaedic addition, personal disability benefits, child allowance, and alike. Likewise, assistances and fees provided by local and regional self-government units are not included in the income, up to the amount of the basis.

Income disregards for benefits which are related to the guaranteed minimal benefit are the same as for that benefit (described above).

Income disregards for other benefits were described before in a case of benefits for which disregards are specified in Social welfare act.

4.3 *Tax treatment of benefit and interaction with other benefits*

Dependency allowance is not taxed.

4.4 *Benefit duration and waiting periods*

To a person or a household member, who is capable for work or partially capable, right for a guaranteed minimal benefit is acknowledged in a period of two years at the most, and he/she doesn't have a right to submit new request for a guaranteed minimal benefit, or for the increase of the benefit of a household for the share of this member, in a period of three months from a month when the right ceased or has decreased.

If a person or a household member, who is capable for work or partially capable, and is the user of the guaranteed minimal benefit refuses a job offer, training, retraining or additional training, or if he/she cancels the job contract in his own will, he/she loses the right on a benefit, or (in a case of a benefit for a household), benefit is decreased for a share of that member, doesn't have a right to submit new request for a guaranteed minimal benefit, or for the increase of the benefit of a household in a period of six months from a month when the right ceased or has decreased.

Person or a household member, who is capable for work or partially capable loses the right on a guaranteed minimal benefit as he/she refuses to participate in the work for common good for no wage, or on a

summon from a local and regional self-government units, doesn't have a right to submit new request for a guaranteed minimal benefit, or for the increase of the benefit of a household in a period of six months from a month when the right ceased or has decreased.

If a person or a household member, who is capable for work or partially capable, and is the user of the guaranteed minimal benefit in the period of at least a year, becomes employed, than in the first month of his employment this benefit does not cease and does not decrease for earned income. In the second month of the employment amount of a benefit decreases for 25%, and in the third month for 50%. If this person or a member of a household is employed longer than three months and his/her average income is higher than the amount of guaranteed minimal benefit than the right for this benefit ceases.

4.5 *Treatment of particular group*

Social assistance rights can be provided to single persons or to a family as a whole.

4.5.1 *Young persons*

Child who is at least 15 years old while attending the school regularly and younger adult until the end of the regular education but not older than 29, has a right for guaranteed minimal benefit even if he is not registered as unemployed person at Croatian employment service, has turned down a job offer or has an opportunity through temporary, season, periodical and similar jobs to acquire means for settling basic needs or to acquire secondary income.

4.5.2 *Older workers*

Person who misses up to five years for acquiring right for old age pension has a right for guaranteed minimal benefit even if he is not registered as unemployed person at Croatian employment service, has turned down a job offer or has an opportunity through temporary, season, periodical and similar jobs to acquire means for settling basic needs or acquire other income.

4.5.3 *Others if applicable*

Following categories described below also have a right for guaranteed minimal benefit (even if they are not registered as unemployed person at Croatian employment service, have turned down a job offer or have an opportunity through temporary, season, periodical and similar jobs to acquire means for settling basic needs or to acquire other income):

Pregnant woman or woman that gave birth in period of 6 month after birth or parent who raises and takes care of a child till he reaches one year of age, twins till they reach three years of age or three or more children until they reach ten years of age, or parent who uses adoption leave, person fully incapable of employment, person for whom temporary unemployability was established, unemployed member of a household without income who provides for a child or adult member of a family who is not capable of taking care of himself, if that kind of care can substitute institutional care.

5. Housing benefits for rented accommodation

1. Assistance in settling of housing costs is partly described in chapter 4 of this Questionnaire.

Housing costs encompass rent, utility costs, electricity, gas, heating, water supply, drainage and other housing costs. It can be granted to a single person or a family.

Right in assistance in settling of housing costs is entitled to a person or a family who is a beneficiary of a guaranteed minimal benefit.

This right is financed and implemented by the local self-government unit, on monthly basis, up to half of the amount of guaranteed minimal benefit. This right can be approved to full amount of the guaranteed minimal benefit if the social welfare centre assess that is the only way to avoid the separation of children from their parents.

Assistance in settling of housing costs can be granted in cash directly to the beneficiary or it can be provided in a manner that a competent authority wholly or partially makes payment directly to the authorized legal or natural person who provided the service.

2. Also, the Croatian Real Estate Agency and the Ministry of Construction and Physical Planning began with a program of leasing apartments, which are built within the program of stimulated housing construction, under favorable conditions.

The conditions are following:

- Croatian citizens who, as well as their household members, do not own the suitable property for living in the area where the property intended for rent is located
 - Suitable property implies ownership of housing (apartment or house) which is equipped with adequate infrastructure (water, sewage, electricity, etc) and complies with the sanitary conditions for healthy housing, size about 35 m² of usable floor space for one person, and for any additional person about 10 m² more
- People whose income per family member is at least 30% of the average salary in the Republic of Croatia, according to the latest published data on the average net salary

Monthly rent amounts:

- 25 kuna per m² for an apartment whose size is equal or less than 60 m²
- 20 kuna per m² for an apartment whose size is larger than 60 m²
- 25 kuna per m² for a garage
- 25 kuna per m² for a parking spot in garage

The lease contract is concluded for a period of 60 months, with the possibility that the duration of the lease is extended for the following period of 36 months.

After the expiration of certain lease time, beneficiary can also purchase the property.

The purchase price of the property is determined by the lease agreement and may be reduced by the amount of rent paid, in a following manner

- If a period of up to 36 months passes from the time of signing the lease contract until the time of signing the purchasing contract, then the purchase price will be reduced by the full amount paid for lease (100%)
- If a period of more than 36 months, but no longer than 60 months passes from the time of signing the lease contract until the time of signing the purchasing contract, the purchase price will be reduced up to the 85% of the amount paid for lease
- If a period of more than 60 months passes from the time of signing the lease contract until the time of signing the purchasing contract, the purchase price will not be reduced.

Beside above mentioned arrangement, city of Zagreb leases:

- Apartments intended for public, owned by the city and
- Apartments owned by the city

1. Apartments intended for public owned by the city

Right to acquire apartment in lease can be granted to persons who fulfill all of the following conditions:

- Persons with a place of residence in Zagreb
- Persons who do not own available adequate apartment or a house in Republic of Croatia and neither do the members of their household
- Persons with income per member of their household above 30% of average monthly salary achieved in Zagreb in a period of three months before the tender for a lease
- Persons with housing status of: a) sub tenant, b) protected sub tenant that resides in the object for whom decision of dislodgment was delivered because of decrepitude and danger for the lives of people and property, c) protected sub tenant that resides in an apartment within a private property, d) user or a tenant living in an former apartments of a building supervisor, or beneficiary of adapted mutual premises; e) residing with parents or parents of a spouse in inadequate apartment, f) residing with parents or parents of a spouse in adequate apartment.

Persons who are interested can apply for a public tender. Following criteria is taken in regard for advantage when providing lease of those apartments: period of residing in Zagreb, age of applicant, title of scientific novice, master of science, doctor of science, employee in a field of culture or a public employee, housing status, number of members of a family household, single parent status, victim of domestic violence, disability of an applicant or a member of a household, status of Homeland War defender.

The lease contract is concluded for a period of 5 years, with the possibility that the duration of the lease is extended.

Monthly price of the rent amounts:

- 64 eur + 1.6 eur per m² for an apartment whose size is less than 60 m²
- 92 eur + 1.4 eur per m² for an apartment whose size is equal or larger than 60 m²
- 108 eur + 1.2 eur per m² for an apartment whose size is equal or larger than 100 m²

2. Apartments owned by the city

Right to acquire apartment in lease have persons who fulfill one of the following conditions:

- Persons whose housing status is not solved, they have no options to solve it in some other manner and they reside in Zagreb at least 10 years before application for lease, with income per member of their household below 50% of average monthly salary achieved in Zagreb in previous year

- Protected sub tenant that resides in the object for whom decision of dislodgment was delivered because of decrepitude and endangered stability
- Protected sub tenant that resides in an apartment owned by the city, of size that exceeds household needs
- Persons who use an apartment on the grounds of the lease contract with the city of Zagreb, but ownership of apartment has been changed
- Persons for whom there is a commitment of giving apartment in lease on legal grounds and valid court decision

Person cannot apply for a lease of apartment if he/she or a household member own an available house or apartment in city of Zagreb or in Zagreb County.

For the first category of users (persons whose housing status is not solved, they have no options to solve it in some other manner and they reside in Zagreb at least 10 years before application for lease) apartment is given in lease for 5 years with protected price of rent, while for other categories duration of lease is determined in previous lease contract that was closed or based on a court decision.

Amount of protected rent depends on an apartment's furniture, apartment's usability, the maintenance cost of common parts and installations of the building and household's capability to pay the price of the rent. For the apartment of size 60 square meters, protected rent would amount approximately above 330 kuna up to 800 kuna (estimation found on the web site of Ministry of Construction and Physical Planning).

Certain advantage for giving apartment in lease has a person living in a difficult social and health conditions:

Person with full physical impairment or incapability to work, person with grave physical or mental impairment or mental illness and dependent of care of other, people who are beneficiaries of certain social welfare rights, persons who are victims of domestic violence (according to valid court decision not older than one year) with personal income that does not exceed 50% of average monthly salary achieved in Zagreb in previous year, persons with Homeland War defender status who are beneficiaries of living cost allowance and persons who because of their deafness use the right for an allowance for help and care.

5.1 Conditions for receipt

1. Right in assistance in settling of housing costs is provided to a person or a family who is a beneficiary of a guaranteed minimal benefit. So, conditions of receipt of settling of housing costs are the same as of guaranteed minimal benefit, and which are described in chapter 4 - Social assistance (4.1 Conditions for receipt).

2. In order to rent apartments, built under the program of stimulated housing construction, applicants must meet the following conditions

- Croatian citizens who, as well as their household members, do not own the suitable property for living in the area where the property intended for rent is located,
- People whose income per family member is at least 30% of the average salary in the Republic of Croatia, according to the latest published data about the average net salary.

City of Zagreb

1. City of Zagreb prescribes following criteria for the leasing of apartments intended for public

- Persons with a place of residence in Zagreb

- Persons who do not own available adequate apartment or a house in Republic of Croatia and neither do the members of their household
- Persons with income per member of their household above 30% of average monthly salary achieved in Zagreb in a period of three months before the tender for a lease
- Persons with housing status of: a) sub tenant, b) protected sub tenant that resides in the object for whom decision of dislodgment was delivered because of decrepitude and danger for the lives of people and property, c) protected sub tenant that resides in an apartment within a private property, d) user or a tenant living in an former apartments of a building supervisor, or beneficiary of adapted mutual premises; e) residing with parents or parents of a spouse in inadequate apartment, f) residing with parents or parents of a spouse in adequate apartment.

2. Criteria for the leasing of apartments owned by the city of Zagreb are following

- Persons whose housing status is not solved, they have no options to solve it in some other manner and they reside in Zagreb at least 10 years before application for lease, with income per member of their household below 50% of average monthly salary achieved in Zagreb in previous year
- Protected sub tenant that resides in the object for whom decision of dislodgment was delivered because of decrepitude and endangered stability
- Protected sub tenant that resides in an apartment owned by the city, of size that exceeds household needs
- Persons who use an apartment on the grounds of the lease contract with the city of Zagreb, but ownership of apartment has been changed
- Persons for whom there is a commitment of giving apartment in lease on legal grounds and valid court decision

Person cannot apply for a lease of apartment if he/she or a household member own an available house or apartment in city of Zagreb or in Zagreb County.

5.2 Calculation of benefit amount

1. This right is financed and implemented by the local self-government unit, on monthly basis, up to half of the amount of guaranteed minimal benefit. This right can be approved to full amount of the guaranteed minimal benefit if the social welfare centre assess that is the only way to avoid the separation of children from their parents.

2. Monthly rent amounts:

- 25 kuna per m² for an apartment whose size is equal or less than 60 m²
- 20 kuna per m² for an apartment whose size is bigger than 60 m²
- 25 kuna per m² for a garage
- 25 kuna per m² for a parking spot in garage

Prices of the rent, described above, are more favorable than the prices in normal market conditions. Difference between this more favorable price and the usual price for the same kind of apartment around the same location can be considered as benefit. However, at the moment it is not possible to calculate the amount of benefit because the usual prices of rent in normal market conditions cannot be considered as an official data.

City of Zagreb

1. Apartments intended for public owned by the city

Monthly price of the rent amounts:

- 64 eur + 1.6 eur per m² for an apartment whose size is less than 60 m²
- 92 eur + 1.4 eur per m² for an apartment whose size is equal or larger than 60 m²
- 108 eur + 1.2 eur per m² for an apartment whose size is equal or larger than 100 m²

2. Apartments owned by the city

For the first category of users (persons whose housing status is not solved, they have no options to solve it in some other manner and they reside in Zagreb at least 10 years before application for lease) apartment is given in lease for 5 years with protected price of rent, while for other categories duration of lease is determined in previous lease contract that was closed or based on a court decision.

Amount of protected rent depends on an apartment's furniture, apartment's usability, the maintenance cost of common parts and installations of the building and household's capability to pay the price of the rent. For the apartment of size 60 square meters, protected rent would amount approximately above 330 kuna up to 800 kuna (estimation found on the web site of Ministry of Construction and Physical Planning).

5.2.1 *Calculation of gross benefit*

5.2.2 *Income and earnings disregards*

5.2.3 *Costs eligible for housing benefits*

5.3 ***Tax treatment of benefit and interaction with other benefits***

1. Housing benefits are not taxed.

2. This benefit is not a cash benefit so it is not taxable.

5.4 ***Treatment of particular groups***

5.4.1 *Young persons*

5.4.2 *Older workers*

5.4.3 *Others if applicable*

6. Family benefits

6.1 Conditions for receipt

Child allowance is a cash benefit used by the parent or other person designated in the Act on child allowance, in order to provide support in the maintenance and upbringing of the child. It can be acquired by the parent, adoptive parent, foster, step father, stepmother, grandmother, grandfather, as well as the person to whom child has been entrusted on care and upbringing by decision of the authorised social welfare body. Child allowance can be provided also for the child who is an adult, but lost both parents, if he/she is attending regular education.

The right to child allowance is acquired in accordance to the number of children, the amount of the total income of all beneficiary household members, as well as other conditions foreseen by the Act on child allowance. It can be given for the children born in marriage, outside marriage, for adopted children, grandchildren that are dependents and other children who lost both parents.

Child allowance is given until child reaches 15th year of age, or until the end of the school year in which child turned 15. This benefit can be provided after mentioned period if the reason a child is attending elementary school after he/she turned 15 is later school enrolment in the first grade or failure to finish a class due to health reasons or longer illness.

Child allowance is given for the child in high school until the end of such schooling, but no longer than the end of the calendar year in which child turns 19 years of age. If the child has health impairments, he/she is entitled to child allowance even after turning 19 years of age, until the end of regular education in high school, but no longer than when reaching 21 years of age.

In the case of a child who, after recovering from illness, continues to attend school, but because of a longer absence caused by illness cannot finish school regularly, right for an allowance is extended for a period of time during which a child didn't attend school due to illness, but no longer than when reaching 21 years of age.

For a child with a difficult health impairment, which is determined in accordance with specific provisions, child allowance is provided until the end of the calendar year in which child turns 27 years of age.

Child allowance also belongs to a child who, due to illness doesn't attend school regularly.

This benefit is not acknowledged to a child to whom A permanent accommodation in establishment is secured at the expense of a state budget or budget of a local/regional self-government unit.

It is also not acknowledged for a period of time when child is attending the school abroad, if it's not determined otherwise on the grounds of international contract or regulations of European Union of coordination of social security system.

If a child gets married, right for a child allowance ceases.

6.2 Calculation of benefit amount

In accordance with the Child Allowance Act, the total household income is the sum of taxable incomes which fall under the regulations on income tax and other receipts which are defined under this Act and achieved by the beneficiary and members of his household. Other receipts include pensions achieved at home and abroad, salaries granted by employer for work abroad, the fees generated due to the child care,

compensation for temporary incapacity for work, unemployment compensation, compensation for professional rehabilitation. The term **total income per household member** (which is important for determination of eligibility for child allowance) refers to the sum of taxable incomes and other receipts deducted for compulsory contributions from receipts, tax and surtax.

6.2.1 *Calculation of gross benefit*

The amount of child allowance is determined and depends on the monthly amount of total income achieved per household member. The term household refers to community in sense of living together, earning and spending of total earned income of all family members regardless of the type of kinship.

The beneficiary acquires the right to the child allowance under the following conditions: that his/her total income per household member (in division of total income all members of a household are taken in regard čl.20 st.2) per month generated in the previous year does not exceed 50% of the budget basis and that he/she lives with the child in the same household. In case that the total income per beneficiary's household member does not exceed 16.33% of the budget basis per month, the beneficiary is granted the child allowance in the amount of 9% of the budget basis per child. In case that the total income per beneficiary's household member ranges between 16.34% and 33.66% of the budget basis per month, the beneficiary is granted the child allowance in the amount of 7.5% of the budget basis per child. In case that the total income per beneficiary's household member ranges between 33.67% and 50% of the budget basis per month, the beneficiary is granted the child allowance in the amount of 6% of the budget basis per child.

The amount of the child allowance increases by 25% for the child without both parents, or if both parents are unknown or of unknown residence, or if they are completely and permanently incapable to live and work independently, or if they are deprived of working capability. The amount of the allowance increases by 15% for the child without one parent, whose one parent is unknown or of unknown residence, or completely and permanently incapable to live and work independently, or deprived of working capability.

For child with health impairments, beneficiary is entitled to child allowance up to 25% higher amount.

For the child with grave health impairments, the child allowance is determined in the amount of 25% of the budget basis, independent of the total monthly income per household member.

Budget basis for year 2014 has been set at 3.326 kuna.

Alongside determined amount of child allowances, beneficiary is provided with a supplement in the amount of 500 kuna for the third and fourth child.

In addition to the child allowance, there are following supplementary benefits available:

1 Maternity and parental leave

Employed or self-employed pregnant women or employed or self-employed mother during pregnancy, childbirth and care of a newborn child is entitled to maternity leave for a period of 28 days before the expected birth up to the child's 6 months of age, which consists of compulsory and optional maternity leave. Employed or self-employed pregnant women or employed or self-employed mother uses the right to compulsory maternity leave for a continuous period of 98 days, of which 28 days before the expected birth and 70 days after childbirth. Exceptionally, employed or self-employed pregnant women can start using maternity leave 45 days before expected birth if a doctor gynecologist makes such decision.

After the expiration of compulsory maternity leave employed or self-employed mother has a right to use optional maternity leave up to the child's 6 months of age.

After the maternity leave, given for the first 6 months of child's life, has expired, employed or self-employed parent has a right to parental leave, in duration of 8 or 30 months (it depends on the number of children and the manner of usage of the right: 8 months for first and second child, and 30 months for birth of twins, third and every child that follows). Parental leave is, as a rule, used by both parents (each one for the period of 4 or 15 months). If parental leave is used by only one parent, it is used in the duration of 6 months for first and second child, and 30 months for birth of twins, third and every child that follows. During the maternity leave and the first 6 months of parental leave (if only one parent is using this right) or 8 months (if this leave is used by both parents), or during the usage of the right on half-time working arrangement, employed or self-employed parent has a right to monthly salary compensation which amounts to 100% of the basis determined under obligatory health insurance provisions, but in the case of the parental leave it cannot be higher than 80% of the budgetary basis, or less than 50% of the budgetary basis in both cases. So, for the first six months of parental leave, parent receives 80% of the budgetary basis at the most and for the remaining time of parental leave (24 months more for birth of twins, third and every child that follows) 50% of the basis. If a parental leave is used as a half-time working arrangement, than the employed or self-employed parent has a right to salary compensation in the monthly amount of 50% of the budgetary basis.

Employed or self-employed mother can use optional maternity leave as a right on half-time working arrangement, which can be extended up to the child's 9 months of age at the most (in this case the salary compensation is the same as for maternal leave). Employed or self-employed parent can use parental leave as a right on half-time working arrangement in duration twice the time of unused parental leave (in this case the salary compensation is the monthly amount of 50% of the budgetary basis).

Unemployed parent, who fulfils other conditions prescribed by law, from the point of the birth of a child, has a right to maternity and parental exclusion from work and a right for a compensation. Parent can use maternity exclusion from work until child fulfils 6 months of life. After the expiration of this right, unemployed parent can use parental exclusion from work in the duration up to child's age of one year (for first and second child) and up to child's age of three years (for birth of twins, third and every child that follows). The user has a right to a cash benefit in the monthly amount of 50% of the budgetary basis.

Parent outside working system, who fulfils other conditions prescribed by law, has a right to cash assistance during maternity and parental care for the new born child. Under maternity care it is understood a period of time from the child birth until 6 months of child's life. Parental care encompasses time period from 6 months of life until child's 1 year of age (for first and second child) or 3 years of age (for twins, third and every child that follows). The user has a right to a cash benefit in the monthly amount of 50% of the budgetary basis.

Adoptive parent, if health insured under obligatory health insurance provisions, has a right on related temporal leaves or exclusions from work, as well as salary compensations or other forms of cash benefits. The scope of mentioned rights depends on the working status of the adoptive parent, as well as of the age of the adoptive child. Employed or self-employed adoptive parent can use a right on adoptive parent leave in duration of six months for a child younger than 18 years of age. After expiration of this leave, adoptive parent of a child younger than 8 years of age has a right on parental leave in duration of 6 months and receives benefit described before for parental leave. During the adoptive parent leave compensation is the same as for maternity leave.

Employed or self-employed parent of a child with grave developmental difficulties (child with serious physical or mental impairments or with serious mental illness), after the expiration of right for maternity

leave or during the usage of right for paternal leave or after the expiration of this right, has a right on leave to care for a child up to child's 8 years of age. Parent has a right for a monthly compensation in the amount of 65% of the budget basis, during this period.

Employed or self-employed parent of a child with grave developmental difficulties can use this right as a right on half-time working arrangement and continue to use it after child reaches 8 years of age, as long as there is a need for this right and he receives a compensation in cash in the amount of a salary earned that month for a half time working arrangement deducted for contributions on pension insurance, tax and surtax. Self-employed parent has a right on compensation in cash in the amount of 50% of the basis for calculation of compulsory health insurance contributions.

Other rights for maternity and parental benefits include: right on half-time working arrangement due to intensive care of a child, leave in a case of a child's death, transfer of rights to one parent, day off from work for prenatal examination, employment standstill up to child's age of 3, leave from work for a pregnant woman, woman who gave birth or woman who's child is in a need of nursing.

Basis determined under obligatory health insurance provisions is the average salary, paid to the beneficiary for the six months prior to the month in which the case occurred, on the basis of which the right is acquired.

Budget basis for year 2014 has been set at 3.326 kuna.

2 Cash lump sum assistance for a new born child

Users of maternal and parental benefits can also be entitled to cash lump sum assistance for a new born child. This financial assistance is provided in the amount of 70% of the budgetary basis. This benefit is not means-tested.

6.2.1.1 Irregular additional payments

6.2.2 Income and earnings disregards

In accordance with the Child Allowance Act, the total household income is the sum of taxable incomes which fall under the regulations on income tax and other receipts which are defined under this Act and achieved by the beneficiary and members of his household. Other receipts include pensions achieved at home and abroad, salaries granted by employer for work abroad, the fees generated due to the child care, compensation for temporary incapacity for work, unemployment compensation, compensation for professional rehabilitation. The term **total income per household member** (which is important for the definition of income for purpose of determining eligibility for child allowance) refers to the sum of taxable incomes and other receipts which are defined under this Act deducted for compulsory contributions from receipts, tax and surtax.

6.3 Tax treatment of benefit and interaction with other benefits

Child allowance is not taxed.

Maternity and parental leaves benefits are not taxed.

Cash lump sum assistance for a new born child is not taxed

Reference date for all information is **July 1st 2014**

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6.4 *Treatment of particular groups*

6.4.1 *Young persons*

6.4.2 *Older workers*

6.4.3 *Others if applicable*

7. Childcare for pre-school children

According to the Preschool Education Act, preschool education includes programs of education, health care, nutrition and social welfare that are provided in kindergartens. Kindergartens are public institutions where the pre-school education is held as a public service.

Kindergartens may be established by: Republic of Croatia, local and regional self-government units, religious organizations, other legal and natural persons.

Pre-school education is organized and conducted for children from the age of six months up to school age.

Kindergartens achieve:

- Regular programs of care, upbringing, education, health care, nutrition and social welfare of children and early and preschool age, which are adapted to the developmental needs of children and their abilities and skills,
- Programs for children with disabilities of early and preschool age,
- Programs for gifted children of early and preschool age,
- Programs in the language and alphabet of national minorities,
- Pre-school programs,
- Programs of early foreign language learning and other programs of artistic, cultural, religious and sport contents.

In 2009/10 educational year the total coverage of pre-school children in regular programs (five-hour and ten-hour programs) amounted up to 58% of the pre-school children. Coverage of shorter programs ranged up to 28%.

In a year before enrolling school, around 99.6% of the children were involved with pre-school programs, in regular kindergarten programs as well as in pre-school programs.

In total, 673 kindergartens are operating in the Republic of Croatia (the total number of objects is 1 598). There are 238 private kindergartens or 35.4%. There are 435 city / municipal / county kindergartens (64.6%).

The total number of children in all kindergartens amounted to 151 514. In private kindergartens there are up to 29 320 children (19.4%), while in the city / municipal / county ones up to 122 194 children (80.6%).

Children involvement according to the programs:

- In regular daily programs there are 112 346 children included (74.1%).
- In pre-school programs there are 15 668 children (10.4%).
- In the shorter programs there are 23 500 children included (15.5%).

The programs of pre-school education includes around 5 985 (5.3%) children with disabilities, 1 678 (1.5%) gifted children and 2 348 (2.1%) children belonging to national minorities.

More than 69% of children between the age of 4 and 6 are learning a foreign language within the regular kindergarten program or as a shorter program outside the regular program.

According to the Act on Education in Primary and Secondary School, a primary school lasts eight years. Primary education begins by enrolling into the first grade of primary school and it is compulsory for all children, generally from six to fifteen years of age, and for students with multiple disabilities no longer

than 21 years. Children are considered to be enrolled in the first grade of compulsory primary education if by the April 1th of the current year they have reached the age of six years of life.

7.1 ***Out-of-pocket childcare fees paid by parents***

In accordance with the Article 48 of the Preschool Education Act, the founder of the kindergarten is obliged to provide funds for the establishment and operation of the kindergarten. These funds the founder provides by selling services on the market, or from other regulated sources.

Kindergartens founded by the units of local and regional self-government, are charging their services from the parents-customers, in accordance with the standards established by the representative body of that unit, except for the pre-school program that is free of charge for parents.

Therefore, most kindergartens depend on the units of local or regional self-government, whether, and to what extent, it will co-finance the kindergarten costs, and thereby reduce the cost to parents. Likewise, it depends on units of local or regional self-government whether the co-financing (and its amount) will be based on the previous means test, as well as whether there will be a category of users who are excluded from paying.

Article 50 of the Preschool Education Act stipulates that a part of funds needed for the execution of public needs in the field of preschool education is secured in the state budget.

Above paragraph refer to the following programs:

- For children with development difficulties and gifted children,
- For early and pre-school age children of Croatian citizens abroad,
- For children of early and pre-school age belonging to national minorities,
- Pre-school program (as it is mandatory, it is state funded).

7.2 ***Child-care benefits***

7.2.1 ***Conditions for receipt***

Conditions for receipt

7.2.2 ***Calculation of benefit amount***

7.2.2.2 ***Income and earnings disregards***

7.2.3 ***Tax treatment of benefit and interaction with other benefits***

Financing of kindergartens from state and other entities is provided in the form of services (the user does not get the money but the part of a service the user does not have to settle). Also, it is provided on the local level. This benefit in kind is therefore, as a rule, not related to other social security benefits.

7.2.4 ***Treatment of particular groups***

8. Employment-conditional benefits

1. Professional rehabilitation

Right to a professional rehabilitation is acknowledged to a:

- person with disability whose condition, comparing to capability of a person without disability around same age, level of education, has a consequence of reduced possibility for acquiring an employment in similar work conditions,
- person with disability whose work performance is expected but because of the person's reduced capabilities, competent body for expertise determines that professional rehabilitation is needed for preserving person's physical, sensory or mental capabilities

Professional rehabilitation includes following activities: professional development, additional training, professional training and programs for maintaining and perfecting social and working skills, professional informing, consultation and estimation of professional capabilities, training in using technology, programs for improving, determining of working and social capabilities, analyze of labor market, possibility of employment and alike...

Employee with disability who has acquired a right to professional rehabilitation, can attend training for a job for which is required the same level of education as for his previous job, and if that is not possible for a lower level of education, or exceptionally for a higher level if such training can be useful regarding expertise and age of employee and if there is a possibility of employment after the completion of professional rehabilitation.

- Employee with disability who has acquired a right to professional rehabilitation, because of injury outside of his place of work or illness, also acquires a right for compensation of salary in the amount of disability pension for partial loss of work capability, from the day the reduced work capability has occurred to beginning of professional rehabilitation, and from the completion of rehabilitation to the moment of employment in a suitable work position, but not longer than 12 months after the rehabilitation. And during the rehabilitation employee with disability has a right for compensation of salary in the amount of disability pension for complete loss of work capability. Beneficiary acquires the right for this compensation if he is registered in unemployment office in a period of 30 days after the completion of professional rehabilitation.

- Employee with disability who has acquired a right to professional rehabilitation, because of injury in his place of work or occupational disease, also acquires a right for compensation of salary in the amount of disability pension for complete loss of work capability for 40 years of pensionable service, from the day the reduced work capability has occurred to the moment of employment in a suitable work position after the completion of professional rehabilitation, but not longer than 24 months after the rehabilitation. Beneficiary acquires the right for this compensation if he is registered in unemployment office in a period of 30 days after the completion of professional rehabilitation.

If professional rehabilitation is carried out outside the place of residence of disabled employee and frequent transport cannot be secured, then the accommodation and nutrition service or compensation of costs for accommodation and nutrition is secured for person.

2. Temporary incapability to work

Person who is temporary incapable to work due to injury in a place of work or occupational disease, acquires a right for salary compensation until it is established that the person became capable for work or a

disability has been determined. Beneficiary can use this right for 18 months, and after that he receives 50% of compensation as long as there is medical indication for temporary incapability to work.

Basis for calculation of this compensation is an average salary paid to the person in a period of 6 months before the circumstance for acquiring the compensation occurred. Compensation amounts 100% of the basis.

3. Physical impairment benefit

Right to this benefit is acknowledged to an employee whose physical impairment of at least 30% results as a consequence of an injury in a place of work or occupational disease. Physical impairment is defined as a loss, serious damage or disability of an organ or body part which makes normal activity of organism more difficult and requires bigger effort to maintain basic life needs.

If an employee acquires a right to this benefit and some other benefit for the same impairment according to some other regulation, he can exercise just one of these rights in his/her own choice.

Croatian Institute for Pension Insurance determines basis for calculation of this benefit, and in the year of 2014. It amounted 1 213 kuna. Amount of benefit is determined regarding the level of impairment.

Level of physical impairment	Amount of benefit (% of the basis)
100 %	40 %
90 %	36 %
80 %	32 %
70 %	28 %
60 %	24 %
50 %	20 %
40 %	16 %
30 %	12 %

4. Employment stimulations for persons with disability

Employer of a person with disability and self-employed person with disability can acquire a right of:

a) Compensation of costs of education for disabled person.

Fund for professional rehabilitation and employment of persons with disability approves co-financing costs of such education in duration up to six months, exceptionally 12 months. Beneficiaries acquire a right to 60% compensation of costs of education. Costs include school fee and travelling costs.

b) Compensation of costs for adjustment of work space for a person, in a sense of removing architectural barriers. This cost is compensated in the amount of real expenses of adjustment, but at the most in the amount of 50 basis for calculation of compensation for adjustment of work space. This basis amounts 80% of the lowest monthly basis for accounting the contributions for mandatory insurance (in the year of 2014. It was 2.779.35 kuna)

c) Compensation of costs of adjustment of working conditions, if due to high level of disability, person requires technical adaptation of work space. This cost is compensated in the amount of real expenses of adjustment, but at the most in the amount of 50 basis for calculation of compensation for costs of

adjustment of working conditions. This basis amounts 80% of the lowest monthly basis for accounting the contributions for mandatory insurance (in the year of 2014. It was 2.779.35 kuna)

d) Subsidy of interests up to 70% of interest rate at the most, of a purpose-specific loans for buying machines, equipment or tools needed for employment of a person with disability. Co-financing lasts till repayment of a loan or termination of employment of a person with disability. Compensation of interests is paid in the amount proportional to number of persons with disability working with such machines or equipment.

e) Compensation due to reduced work efficiency, which is acknowledged when a person with disability cannot permanently perform the same quantity of work as a healthy person, and employer or self-employed person with disability acquires compensation of difference to the full amount of salary. Amount of compensation depends on hours disabled person spent at work, but cannot be higher than 50% of basis for calculation of compensation due to reduced work efficiency. This basis amounts 80% of the lowest monthly basis for accounting the contributions for mandatory insurance (in the year of 2014. It was 2.779.35 kuna)

f) Co-financing of costs of personal assistant who is helping person with disability in performing activities which disabled person cannot perform on her own. Amount of compensation depends on hours disabled person spent at work, but cannot be higher than 50% of basis for calculation of costs for personal assistant. This basis amounts 80% of the lowest monthly basis for accounting the contributions for mandatory insurance (in the year of 2014. It was 2.779.35 kuna).

g) Co-financing of costs of a therapist who is helping disabled person to cope with work process in period of three months at the most from closing the labour contract. Amount of compensation depends on hours disabled person spent at work, but cannot be higher than 50% of basis for calculation of costs of therapist. This basis amounts 80% of the lowest monthly basis for accounting the contributions for mandatory insurance (in the year of 2014. It was 2.779.35 kuna) Right is acknowledged for a period not longer than 4 months from the day of closing labour contract.

8.1 Conditions for receipt

1. Main condition for compensation of salary for employee with disability is mandatory pension insurance. Employee with disability, because of injury outside of his place of work or illness, can acquire a right to professional rehabilitation under the condition that his/hers pensionable service lasts in a period enough for disability pension (one third of person's working age – from 20 years of age to the day that disability occurred). Employee with disability, because of injury in his place of work or occupational disease acquires a right to professional rehabilitation regardless his pensionable service. Benefit is acknowledged on the grounds of expert opinion by the authorized expert and medical documentation.

2. Main condition for salary compensation because of temporary incapability to work is mandatory health insurance. Person's physician determines temporary incapability to work. Injury in a place of work is an injury caused by direct and brief mechanical, physical or chemical action, and an injury caused by sudden change of body position, sudden burden for a body or other changes of physiological state of human body, if it is cause-effected with performing work or activities in which a person is insured with mandatory health insurance. Injuries obtained during home-work trip are also included, so is illness caused by accident or force majeure during the work hours, or performing activities in which a person is insured with mandatory health insurance.

Occupational disease is defined as a disease caused by longer, direct influence of the work process and work conditions in certain occupations. For instance – hearing impairment caused by working in environment where it is present higher level of noise.

3. Right to physical impairment benefit is acknowledged to an employee whose physical impairment of at least 30% results as a consequence of an injury in a place of work or occupational disease. Main condition for receipt is mandatory pension insurance. Benefit is acknowledged on the grounds of expert opinion by the authorized expert and medical documentation. List of injuries that correspond the level of impairment are prescribed in the *Act on the List of Physical Impairment*.

4. Main conditions for receipt for employment stimulations for persons with disability are: labor contract or in a case of self-employment verification of registration in economic activity, proof of person's disability, proof that contributions for mandatory insurance, tax and surtax have been paid.

Other conditions are:

- calculation of reduced work efficiency (for compensation due to reduced work efficiency),
- calculation of costs of personal assistant (for co-financing of costs of personal assistant), - costs of education like school fees and travel expenses (for compensation of costs of education for disabled person),
- at least three sound offers from various firms for adjustments of work space or working conditions with specification of expenses (the least expensive offer is taken in regard) and information of the state of work space and estimation of needs for adjustment (for compensations of costs for adjustment of work space and working conditions),
- lone contract with a bank, calculation of interests... (for subsidy of interests),
- calculation of costs of a therapist and estimation of needs for one (for co-financing of costs of a therapist)

8.2 Calculation of benefit amount

Specified in description of each benefit.

8.2.1 Calculation of gross benefit

8.3 Tax treatment of benefit and interaction with other benefits

8.4 Benefit duration

1. Employee with disability who has acquired a right to professional rehabilitation, because of injury outside of his place of work or illness, also acquires a right for compensation of salary in a period not longer than 12 months after the rehabilitation. Employee with disability who has acquired a right to professional rehabilitation, because of injury in his place of work or occupational disease, also acquires a right for compensation of salary in a period not longer than 24 months after the rehabilitation.
2. Physician can determine duration of temporary incapability to work depending on the type of illness. Person who is temporary incapable to work due to injury in a place of work or occupational disease, acquires a right for salary compensation until it is established that the person became capable for work or a disability has been determined. Beneficiary can use this right for 18 months, and after that he receives 50% of compensation as long as there is medical indication for temporary incapability to work.

Reference date for all information is **July 1st 2014**

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3. Duration for receiving physical impairment benefit is not limited.
4. Described in employment stimulation for benefits for which duration is specified in the Regulation regarding employment stimulations.

8.5 *Treatment of particular group*

8.5.1 *Young persons*

8.5.2 *Older workers*

8.5.3 *Others if applicable*

9. Lone-parent benefits

There isn't a particular lone-parent benefit, but rather some advantages to acquire other benefits.

Lone parent can acquire advantage for admission of his/hers child in kindergarten, and for instance in the City of Zagreb he/she will pay 75% of the price. Also in the City of Zagreb, lone-parent is entitled to certain advantage for acquiring an apartment in lease for favourable price.

Child of a lone-parent can receive benefit for settling accommodation costs in boarding school if an average monthly income per member of a family does not exceed the amount of two basis (for rights other than guaranteed minimal benefit).

For a family who is a beneficiary of a right for a guaranteed minimal benefit, lone-parent acquires an amount of 100% of the basis (for calculation of minimal benefit).

9.1 Conditions for receipt

Conditions for acquiring benefit for settling accommodation costs and guaranteed minimal benefit are described in chapter 4.

9.2 Calculation of benefit amount

9.2.1 Calculation of gross benefit

9.2.1.1 Irregular additional payments

9.2.2 Income and earnings disregards

9.3 Tax treatment of benefit and interaction with other benefits

9.4 Benefit duration

9.5 Treatment of particular group

9.5.1 Young persons

9.5.2 Older workers

9.5.3 Others if applicable

10. Tax system

10.1 Income tax

Majority of social security benefits in Croatia are not taxed (either being left outside the definition of income, or falling into this definition, but treated as non-taxable). Exemptions are paid sick leave benefit paid by the employer and pensions above certain amount. They are treated as a financial receipt from dependent labour and form a part of income tax base.

10.1.1 Tax allowances and credits

10.1.1.1 Standard allowances

Income tax is calculated and paid, as a rule, once a year (annual tax application). This amount is deducted by the tax amount paid in advance (when it comes to receipt from dependent labour generally once a month).

Allowances that reduce the aggregated taxable base for a resident taxpayer on an annual level include:

1. General allowance: 26 400 kuna in 2014 for all resident taxpayers.

- additional general allowance:
 - pension beneficiaries for: between 26 400 kuna and 40 800 kuna
 - residents that reside on the area of local self-government units categorized as aided regions and that reside in the Town of Vukovar use a right on additional allowance in the amount of 38400 kuna and 32400 kuna depending on the level of development of the area where they reside.

2. Family allowances are granted to residents who support their family members or in a case of disability of taxpayer or dependent family members (general allowance increases for this amount):

- If a taxpayer has a dependent member of an immediate family, or former spouse for which alimony is paid, than additional allowance is given in the annual amount of 13 200 kuna
- An additional allowance of 13 200 kuna is given for the first dependent child. For each subsequent child this amount is raised (by 18 480 kuna for the second child; by 26 400 kuna for the third child; by 36 960 for the fourth child; by 50 160 for the fifth child). For 6th and each subsequent dependent child factor of basic personal allowance is increased progressively by 0.6 (66 000 kuna), 0.7 (84 480 kuna), 0.8 (105 600 kuna), 0.9 (129 360 kuna), 1.0 (155 760 kuna), etc, compared the factor of the basic personal allowance for the previous child (factor 1.9 for the 5th child).
- If a taxpayer or any dependent immediate family member or dependent child is disabled, additional allowance is given in the amount of 7 920 kuna
- In case for a taxpayer or any dependent immediate family member or dependent child a disability of 100% has been determined and/or has a right, due to determined disability, to help and care of another person, the amount of allowance is raised by 26 400 kuna

Dependent immediate family members (taxpayer's spouse or life partner, taxpayer's parent and the parents of his spouse or life partner, ancestors and descendants in the direct line, stepmothers and stepfathers to whom adult stepchild provides maintenance, former spouses or life partners for whom taxpayer pays alimony and adult persons to whom a taxpayer has been appointed as guardian) and dependent children are natural persons whose taxable receipts, receipts which are not subject to taxation and other receipts that are

not considered as income, do not exceed 11 000 kuna on an annual basis. Exceptionally, when determining the right to personal tax deduction for dependent immediate family members and dependent children, following receipts under special regulations are not taken into consideration: social assistance benefits, child allowance, receipts for a new-born child and survivors pensions due to death of a parent.

Residents that reside on the area of local self-government units categorized as aided regions and in the Town of Vukovar use a right on family allowance in a higher amount than other residents, if the dependent family members also reside in such region. There are two different amounts of allowance depending on the level of development of the area where they reside:

- If a taxpayer has a dependent member of an immediate family, or former spouse for which alimony is paid, than additional allowance is given in the annual amount of 19 200 kuna and 16 200 kuna
- An additional allowance of 19 200 kuna (16 200 kuna) is given for the first dependent child. For each subsequent child this amount is raised (by 26 880 kuna (22 680 kuna) for the second child; by 38 400 kuna (32 400 kuna) for the third child; by 53 760 kuna (45360 kuna) for the fourth child; by 72 960 (61 560) for the fifth child). For 6th and each subsequent dependent child factor of basic personal allowance is increased progressively by 0.6, 0.7, 0.8, 0.9, 1.0, etc, compared the factor of the basic personal allowance for the previous child (factor 1.9 for the 5th child).
- If a taxpayer or any dependent immediate family member or dependent child is disabled, additional allowance is given in the amount of 11 520 kuna (9 720 kuna)
- In case for a taxpayer or any dependent immediate family member or dependent child a disability of 100% has been determined and/or has a right, due to determined disability, to help and care of another person, the amount of allowance is raised by 38 400 kuna (32 400 kuna)

Other tax reliefs applicable to income from employment

Receipts that are not subjected to taxation:

- compensation for the difference in salary during military service in the armed forces,
- salary compensation to members of the Civil Protection as well as to other persons for activities conducted within civil protection and protection from natural disasters,
- salary compensation for the period of temporary unemployment and temporary inability to work which is paid by Croatian Institute for Health Insurance,
- awards to pupils during practical work and apprenticeship up to prescribed amount,
- awards to pupils and students which are received in the competitions within the education system as well as on organized school and university competitions,
- financial receipts of pupils and students in regular schooling for work carried out through pupil and student associations, under special regulations, up to prescribed amount,
- compensation of damage caused by injury at work, if it is determined as a lump sum,
- benefits and rewards received by imprisoned persons for work done in correctional institutions and rehabilitation homes,
- receipts of workers and other individuals from fees, grants and awards received from their employer or other payer, up to prescribed amount,
- receipts from fees, grants and awards of free lancers as well as people performing other activities taxable as free-lance, up to prescribed amount,
- receipts for official travels of natural persons who are not receiving receipts from employment nor receipts which are included into other income, in the non-profit organizations, up to prescribed amount,

- scholarships to pupils and students in regular education at the secondary schools, higher education schools and colleges, up to prescribed amount,
- scholarships for regular education of students in schools of higher education and colleges as well as postgraduate and postdoctoral students for which funds were planned in state budget, and scholarships that are paid or allocated from the EU budget, arranged by special international agreements, to students who take part in regular education in schools of high education,
- sport scholarships that are paid to athletes for their sports training, up to prescribed amount,
- social assistance benefits paid by union from funds collected by its members,
- awards for sporting achievement and financial compensations made to amateur athletes up to prescribed amount,
- voluntary pension insurance premiums paid by employer into resident voluntary pension fund, in favor of employee and with his/her consent, up to 500 kuna per month, or up to 6 000 kuna a year,
- scholarships provided to students elected through a public tender accessible by all students under same conditions, for regular education at schools of high education provided by endowments, foundations, establishments or other institutions registered in the Republic of Croatia for educational or scientific research purposes, established to provide scholarships,
- receipts from dividends and profit from equity shares up to 12 000 per year,
- receipts from grants paid by EU funds and programs, thru a body accredited in accordance with the rules of European Commission in the Republic of Croatia for the implementation of the mobility activities within framework of EU programs and funds, and for the purpose of education and training, in accordance with financial regulation of the European Commission, up to prescribed amount

10.1.1.2 Standard tax credits

10.1.2 *Income tax schedule (central government income tax)*

Tax schedule for 2013 is:

Taxable base (per month)	Rate
up to 2 200 kuna	12%
2 200 to 8 800 kuna	25%
above 8 800 kuna	40%

Taxation of salaries and pensions

Tax base is the amount of taxable income deduced for personal tax deduction. Taxable income is the amount of gross salary or pension deduced for compulsory contribution from salary or pension. Amount of basic personal tax deduction in the year of 2014. was 2200 kuna for salaries, (which can be increased under conditions described in paragraph – Family allowances) and 3400 kuna for pensions.

Income that is subjected to taxation with income tax is: income from dependent labour, income from independent performing of an economic activity, property income and income from property rights, capital income, income regarding insurance and other income.

10.1.3 State and local income taxes

Towns and municipalities can prescribe surtax to all taxpayers of income tax on their area applying these rates:

- Municipality – up to 10%,
- Towns with population not higher than 30 000 – up to 12%,
- Towns with population higher than 30 000 – up to 15% and
- City of Zagreb up to 30% (in the year of 2014. In Zagreb surtax rate was 18%)

These rates are applied to the amount of income tax. Institute of Public Finance has published an article that includes calculation of weighted average rate of surtax in the Republic of Croatia in the amount of 11.2%¹ for the year of 2010 taking into account the population of towns/municipalities and local surtax.

Taxpayers of surtax are all taxpayers of income tax that reside in town or municipality that has prescribed surtax.

10.2 Treatment of family income

10.3 Social security contributions and payroll taxes

10.3.1 Contributions payable by employees and benefit recipients

Pension insurance – rate of 20.0%

10.3.2 Contributions payable by employers

Health insurance – rate of 15.0% from 1st April 2014 (13.0% prior)

Injuries at work and professional diseases – rate of 0.5%

Employment – rate of 1.7%

10.3.3 Payroll taxes

¹ <http://www.ijf.hr/OP/2.pdf>

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10.4 *Treatment of particular group*

10.4.1 *Young persons*

10.4.2 *Older workers*

10.4.3 *Others if applicable*

Croatian Homeland War invalids acquire relieves applicable to income from employment and pension regarding the level of disability.

Family members of Croatian Homeland War Defenders are relieved of paying the income tax for survivor pensions and benefits in the amount of survivor pension determined according to Act on the Rights of Croatian Defenders of the Homeland War and Members of Their Families.

11. Part-time work

11.1 *Special benefit rules for part-time work*

1. Using optional maternity leave as a right on part-time working arrangement and rights of parents of children with grave developmental difficulties who can use part-time working arrangement have already been described in chapter 6.

2. Right on part-time working arrangement due to intensive care of a child

After the conclusion of parental leave, one of the employed parents acquires a right on part-time working arrangement due to intensive care of a child till child reaches age of 3, if a child is in a need of intensive care because of his health situation or development. In the period of exercising this right, parent receives cash benefit in the amount of 50% of the budget basis. Budget basis for year 2014 has been set at 3.326 kuna.

3. Benefits regarding part-time work because of health issues

In some collective agreements it is specified that due to employee's injury in a place of work or occupational disease, he/she, beside the salary for part-time work, acquires a right to a benefit in the amount of difference between his/her salary and a benefit he acquires under regulations of pension insurance (described in chapter 8).

11.2 *Special tax and social security contribution rules for part-time work*

1. and 2. This benefits are not subjected to taxation, nor the social contributions are calculated from them..

3. According to Income Tax Act, article 14 paragraph 1, and Income Tax Ordinance, article 13 paragraph 2, receipts paid by employer to employees are subjected to taxation, except some benefits, supports and awards up to certain amount prescribed in the Income tax ordinance. Supports paid by employer because of worker's disability are taxable in the amount higher than 2 500 kuna per year.

According to Contributions Act, article 22 paragraphs 2 and 3, social security contributions are calculated from receipts that are subjected to taxation by income tax, so they will also be calculated for benefits paid by employer because of worker's disability in the amount higher than 2 500 kuna per year.

12. Policy developments

In this section we would be grateful if any planned or announced policy changes that affect the benefit and tax systems described in this document have been announced, This will help us to validate the current update, and also keep track of any policy issues that have since followed.

12.1. Policy changes

12.1 Changes introduced : 2 July 2013 – 1July 2014

No changes.

12.2 Changes announced since 1 July 2014

No changes since 1 July 2013.

ANNEX

DEFINITION OF SOCIAL SECURITY CONTRIBUTIONS AND PAYROLL TAXES.

The following text has been adapted from Annex A of the OECD *Revenue Statistics*.

Social security contributions to general government

Classified here are all compulsory payments that confer an entitlement to receive a (contingent) future social benefit. Such payments are usually earmarked to finance social benefits and are often paid to institutions of general government that provide such benefits. However, such earmarking is not part of the definition of social security contributions and is not required for a tax to be classified here. However, conferment of an entitlement is required for a tax to be classified under this heading. So, levies on income or payroll that are earmarked for social security funds but do not confer an entitlement to benefit are excluded from this heading and shown under personal income taxes or taxes on payroll and workforce. Taxes on other bases, such as goods and services, which are earmarked for social security benefits are not shown here [...] because they generally confer no entitlement to social security benefits.

Contributions for the following types of social security benefits would, *inter alia*, be included: unemployment insurance benefits and supplements, accident, injury and sickness benefits, old-age, disability and survivors' pensions, family allowances, reimbursements for medical and hospital expenses or provision of hospital or medical services. Contributions may be levied on both employees and employers.

Social security contributions paid to institutions outside general government

Contributions to social insurance schemes which are not institutions of general government and to other types of insurance schemes, provident funds, pension funds, friendly societies or other saving schemes [are included here if they are compulsory or quasicompulsory (e.g., by virtue of agreement with professional and union organisations)]. Provident funds are arrangements under which the contributions of each employee and of the corresponding employer on his/her behalf are kept in a separate account earning interest and withdrawable under specific circumstances. Pension funds are separately organised schemes negotiated between employees and employers and carry provisions for different contributions and benefits, sometimes more directly tied to salary levels and length of service than under social security schemes.

Payroll taxes

This heading covers taxes paid by employers or employees either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. Examples of taxes classified here are the United Kingdom national insurance surcharge (introduced in 1977), the Swedish payroll tax (1969-1979), and the Austrian Contribution to the Family Burden Equalisation Fund and Community Tax.